WILLIAMSON TEA KENYA PLC
AUDITED RESULTS FOR THE YEAR ENDED 31ST MARCH 2018

Website: www.williamsontea.com

CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME

	31.03.2018 Kshs'000	31.03.2017 Kshs'000
Turnover	3,984,971	3,416,340
Profit/(Loss) from operations before tax	660,635	(362,162)
Increase in fair value of biological assets	37,754	5,112
Finance income	45,838	25,586
Share of results of associated Companies	65,829	(20,480)
(Loss)/profit before taxation	810,056	(351,944)
Tax credit/(charge)	(307,287)	90,351
(Loss)/profit for the year	**502,769**	**(261,593)**
Attributable to:		
Equity Holders of the parent	487,944	(240,494)
Non-controlling interest	14,825	(21,099)
(Loss)/profit after tax attributable to members	**502,769**	**(261,593)**
Comprising:		
Profit/(loss) arising from operating activities	455,080	(246,274)
Profit arising from changes in fair value of biological assets	32,864	5,780
Non-controlling interest	14,825	(21,099)
	502,769	**(261,593)**
Issued Shares of Kshs 5 each	17,512,640	17,512,640
(Loss)/earnings per share (Kshs)	**27.86**	**(13.73)**

CONSOLIDATED STATEMENT OF FINANCIAL POSITION

	31.03.2018 Kshs'000	31.03.17 Kshs'000
ASSETS		
Non current assets		
Property , Plant and Equipment	3,968,782	3,614,543
Intangible assets	1,472	2,623
Prepaid Operating Lease Rentals	76,375	76,458
Investments	1,098,141	996,822
Biological Assets	703,168	660,562
	5,847,938	**5,351,008**
Current assets		
Biological assets-Unharvested green leaf	44,646	31,308
Inventories	604,244	489,606
Trade and other receivables	2,093,446	1,367,623
Associated companies	57,282	8,580
Taxation	-	166,288
Short Term deposits	496,849	659,354
Bank & Cash	360,669	290,360
	3,657,136	**3,013,119**
Total Assets	**9,505,074**	**8,364,127**
EQUITY AND LIABILITIES		
Capital and reserves		
Share Capital	87,563	87,563
Revaluation reserves	1,085,535	718,612
Revenue reserves	5,461,624	5,110,096
	6,634,722	5,916,271
Non-controlling interest	212,635	178,001
Total Equity	**6,847,357**	**6,094,272**
Non current liabilities		
Deferred Taxation	1,097,375	1,001,994
Employee benefit obligations	297,969	310,440
Borrowings & Finance lease	37,417	89,608
	1,432,761	1,402,042
Current liabilities		
Trade and other payables	1,032,320	834,810
Corporate tax payable	157,535	-
Associated companies	35,101	33,003
	1,224,956	867,813
Total equity and liabilities	**9,505,074**	**8,364,127**

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

	Share Capital Kshs'000	Revaluation Reserves Kshs'000	Revenue Reserves: Biological Assets gains/(losses) Kshs'000	Revenue Reserves: Other Kshs'000	Revenue Reserves: Total Kshs'000	Equity Attributable to owners of the company Kshs'000	Non-controlling Interest Kshs'000	Total Kshs'000
Balance at 1 April 2016	87,563	797,676	1,320,005	4,302,736	5,622,741	6,507,980	206,357	6,714,337
Profit / (Loss) for the year	-	-	5,780	(246,274)	(240,494)	(240,494)	(21,099)	(261,593)
Other comprehensive (loss) for the year		(962)	-	-	-	(962)	-	(962)
Total Comprehensive loss for the year	-	(962)	5,780	(246,274)	(240,494)	(241,456)	(21,099)	(262,555)
Excess depreciation transfer		(111,574)	-	111,574	111,574	-	-	-
Deferred tax on excess depreciation		33,472		(33,472)	(33,472)	-	-	-
Final Dividends declared-2016			-	(350,253)	(350,253)	(350,253)	(7,257)	(357,510)
				-	-	-		-
Balance at 31 March 2017	**87,563**	**718,612**	**1,325,785**	**3,784,311**	**5,110,096**	**5,916,271**	**178,001**	**6,094,272**
Balance at 1 April 2017	87,563	718,612	1,325,785	3,784,311	5,110,096	5,916,271	178,001	6,094,272
Profit for the year		-	32,864	455,080	487,944	487,944	14,825	502,769
Comprehensive income/(loss) for the year		405,633	-	-	-	405,633	19,809	425,442
			-	-	-			-
Total comprehensive income for the year	-	405,633	32,864	455,080	487,944	893,577	34,634	928,211
Excess depreciation transfer		(55,300)		55,300	55,300	-		-
Deferred tax on excess depreciation		16,590	-	(16,590)	(16,590)	-		-
Final Dividends declared-2017	-	-	-	(175,126)	(175,126)	(175,126)		(175,126)
		-	-					
Balance at 31 March 2018	**87,563**	**1,085,535**	**1,358,649**	**4,102,975**	**5,461,624**	**6,634,722**	**212,635**	**6,847,357**

CONSOLIDATED STATEMENT OF CASHFLOWS

	31.03.2018 Kshs'000	31.03.2017 Kshs'000 Restated
Operating activities		
Cash generated from operations	307,781	457,711
Interest received	52,781	64,220
Interest paid	(11,647)	(15,706)
Taxation Paid	(51,225)	(232,741)
	297,690	**273,484**
Investing activities		
Purchase of Plant and equipment	(172,149)	(207,000)
Purchase of intangible assets	(859)	(574)
Proceeds from disposal of plant and equipment	11,938	4,167
Expenditure on biological assets	(8,868)	(8,095)
Decrease due to own use of biological assets	4,016	3,989
Dividend from - Associated company	9,286	18,571
- other	-	260
	(156,636)	**(188,682)**
Financing Activities		
Asset finance loans repaid	(60,222)	(52,198)
Dividends paid to shareholders	(173,028)	(317,250)
Dividend paid to minority interest	-	(7,257)
	(233,250)	**(376,705)**
(Decrease)/increase in cash and cash equivalents	**(92,196)**	**(291,903)**
Movement in cash and cash equivalents		
At 1 April	949,714	1,241,617
(Decrease)/increase	(92,196)	(291,903)
At 31 March	**857,518**	**949,714**

COMMENTARY ON THE RESULTS

Good results were due to high crop volume as a result of favorable weather and improved prices for the better part of the financial year.

DIVIDEND

The recommended a final dividend of Kshs.20 per share, subject to shareholders' approval, will accrue to the members on the register at the close of business on 21st September 2018. Therefore, the register will remain closed from 24th to 26th September 2018, both days inclusive.

PROSPECTS

Crops are currently high, and prices have fallen steadily from the year end. However, prolonged rain has come with lower temperatures.
Thoughts of a bumber year of harvest are probably inaccurate and we can look forward with some cautious optimism that global demand for decent teas will not collapse.

SUMMARY OF KEY AUDIT MATTER

The auditors' report on the financial statements includes the following key audit matter: Valuation and measurement of biological assets.

BASIS OF PREPERATION OF SUMMARISED CONSOLIDATED FINANCIAL STATEMENTS

The summarised consolidated financial statements have been prepared in accordance with the requirements of the Capital Markets (Securities) (Public Offers, Listings and Disclosures) Regulation, 2002 Requirements as applicable to summarised financial statements.

NOTICE OF MEETING

NOTICE IS HEREBY GIVEN that the SIXTY NINTH ANNUAL GENERAL MEETING of the Shareholders will be held at the Nairobi Club, Ngong Road, on Tuesday 25th September 2018 at 10.00am for the following purpose:

Ordinary Business:

1) To receive and adopt the report of the Directors together with the audited financial statements for the year ended 31 March 2018.
2) To declare a dividend.
3) To elect a Director:
   i) In accordance with Article 108 of the Company's Articles of Association, Mr. Edward Charles Magor retires by rotation and offers himself for re-election.
   ii) In accordance with Article 108 of the Company's Articles of Association, Mr.Philip Magor retires by rotation and offers himself for re-election.
4) In accordance with the provosions of section 769(1) of the Companies Act 2015 to appoint the following Directors as members of Board Audit Committee:
   i) Mr Mathew Koech
   ii) Mr James Patrick Brooks
5) To approve the remuneration of the Directors
6) To note that Deillote & Touche continue in office and to authorise the Directors to agree their remuneration.
7) To transact such other business as may be brought before the meeting.

G K MASAKI
COMPANY SECRETARY

Tuesday, July 31 2018

INDEPENDENT AUDITORS' REPORT ON THE SUMMARISED FINANCIAL STATEMENTS

TO THE SHAREHOLDERS OF WILLIAMSON TEA KENYA PLC

Opinion

The accompanying summarised consolidated financial statements of Williamson Tea Kenya Plc and its subsidiaries (the "Group"), which comprise the summarised consolidated statement of financial position as at 31 March 2018, the summarised consolidated statement of profit or loss and other comprehensive income, the summarised consolidated changes in equity and the summarised consolidated statement of cash flows for the year then ended, are derived from the audited financial statements of the Group for the year ended 31 March 2018.

In our opinion, the accompanying summarised consolidated financial statements are consistent, in all material respects, with the audited financial statements of the Group, in accordance with the requirements of the Capital Markets (Securities) (Public Offers, Listings and Disclosures) Regulation, 2002 (''the Regulations'') as applicable to summary financial statements.

Summarised consolidated financial Statements

The summarised consolidated financial statements do not contain all the disclosures required by the International Financial Reporting Standards as applicable to annual financial statements. Reading the summarised consolidated financial statements and the auditors' report thereon, therefore, is not a substitute for reading the audited financial statements of the Group and the auditors' report thereon.

The audited financial statements and our report thereon

We expressed an unmodified audit opinion on the audited financial statements in our report dated 31 July 2018 . That report also includes:
The communication of other key audit matters as reported in the auditors' report on the audited consolidated and company financial statements.

Directors' responsibility for the summarised consolidated financial statements

The Directors are responsible for the preparation of the summarised consolidated financial statements in accordance with the requirements of the Capital Markets (Securities) (Public Offers, Listings and Disclosures) Regulation, 2002 Requirements as applicable to summarised financial statements.

Auditors' responsibility

Our responsibility is to express an opinion on whether the summarised consolidated financial statements are consistent, in all material respects, with the audited financial statements based on our procedures, which were conducted in accordance with International Standard on Auditing (ISA) 810 (Revised), *Engagements to Report on Summary Financial Statements.*

The engagement partner responsible for the audit resulting in this independent auditors' report is *CPA F. Okwiri - P/No 1699.*

Deloitte & Touche
Certified Public Accountants (Kenya)
Nairobi, Kenya
01 August 2018

The above extract is based on the Financial Statements of Williamson Tea Kenya PLC Group for the year ended 31 March 2018 as audited by Deloitte & Touche who have issued an unqualified report. The Financial Statements have been prepared in accordance with the International Financial Reporting Standards.
The Group's annual reports and press release of the annual results can be accessed at the Company's website: www.williamsontea.com